

by users who copy and improve the flawed project. Consequently, DeFi strives to design protocols that naturally and elegantly incentivize stakeholders and maintain a healthy equilibrium through careful mechanism design. Naturally, there are trade-offs in having and not having a centralized party. Centralized control allows for radically decisive action in a crisis, which may or may not be the appropriate reaction. The path to decentralizing finance will certainly involve growing pains because of the challenges in pre-planning for every eventuality and economic nuance. Ultimately, however, the transparency and security a decentralized approach brings will lead to robust protocols that can become trusted financial infrastructure for a global user base.

Decentralized Autonomous Organization

In a *decentralized autonomous organization* (DAO), the rules of operation are encoded in smart contracts that determine who can execute what behavior or upgrade. It is common for a DAO to have some kind of *governance token*, which gives an owner some percentage of the vote on future outcomes. We will explore governance in much more detail later.

LACK OF INTEROPERABILITY

We will now touch on how DeFi solves for the lack of interoperability that exists in traditional finance. Traditional financial products are difficult to integrate, generally requiring at minimum a wire transfer and many cases unable